

Advice for Mr Talwar and Mr Sanghvi

There is no denying that real estate had a great run until 2013. But one has to remember that part of it was to make up for decades of no price appreciation and part of it was a bubble building up. We have learnt from the global experiences that real estate has long cycles of boom and bust. Sitting in the comfort of Ambit House in August 2017, a correction in Indian residential real estate appears inevitable. Even if prices don't crash, it is quite unlikely that they will go up in a meaningful manner (a phenomenon that Indian investors politely call 'time correction').

Mr Talwar and Mr Sanghvi, meanwhile, will have to throw their preconceived notions regarding real estate out of the window if they want to have any hope of generating a healthy post-tax return that can give them a corpus to support their families. We shall delve into this in greater detail in the penultimate chapter.

The three key takeaways from this chapter:

1. In India and developed markets, real estate has given far lower returns compared to equity over long periods of time. Along with that, its high correlation with equity means that real estate offers little by way of diversification. A combination of these two factors means that this asset class does not really deserve a place in most investors' portfolios.
2. Real estate is the most illiquid asset with the highest transaction costs, which are now in excess of 10 per cent. Furthermore, unfavourable taxation compared to equities make it even less desirable for investment.
3. India has had a once-in-a-lifetime bull run in real estate between 2003 and 2013. However, this took the prices of residential real estate into bubble territory and—just as importantly—out of bounds for the vast majority of end-users. Even if there is no drastic fall in prices, a time correction is imminent, implying many years of poor price performance.